ECON 301 — Microeconomics

Week 6 Lecture Notes

The marginal rate of substitution declines as we move along an indifference curve.

Demand curves shift when income, tastes, or the prices of related goods change.

A price ceiling below equilibrium creates shortages in the market.

A competitive firm produces at the point where marginal cost equals marginal revenue.

The law of diminishing returns applies when extra units of a variable input are added.

Elasticity measures the responsiveness of quantity demanded to a change in price.

Monopoly output is lower and price is higher than under perfect competition.

Tax incidence depends on the relative elasticities of supply and demand.